UNIT 4
INVENTORY VALUATION

Exercise 1

From the following, determine cost of goods sold.

Item	Amount(RO)
Purchases	40000
Inventory (1 Jan.)	70000
Freight in	2000
Purchases returns	4000
Purchases Discounts	1000
Inventory (31 Dec.)	48000

Exercise 2

Company Q has the following information regarding its merchandise for 2018.

Date	Event	Details
Jan. 1	Balance	400 units @ RO3
May 1	Purchase	200 units @ RO4
July 15	Sale	300 units
Oct. 10	Purchase	250 units @ RO5
Nov. 14	Sale	400 units
Dec. 9	Purchase	100 units @ RO 8
Dec. 18	Sale	125 units

a. Using the periodic system, determine cost of goods sold and the ending Merchandise Inventory balance under FIFO, LIFO, and weighted average.
b. Determine FIFO, LIFO, and weighted average under the perpetual system.

Exercise No. 3

Stores Ledger Account of Kanthi & Co. shows the following particulars:
2018
Jan. 1 Opening Balance: 500 units @ OMR 4
Jan. 5 Received from vendor: 200 units @ OMR 4.25
Jan. 12 Received from vendor: 150 units @ OMR 4.10
Jan. 20 Received from vendor: 300 units @ OMR 4.50
Jan. 25 Received from vendor: 400 units @ OMR 4
Materials were issued as follows:
2018
Jan. 4 – 200 units
Jan. 10 – 400 units
Jan. 15 – 100 units
Jan. 19 – 100 units

Jan. 26 – 200 units
Jan. 30 – 250 units
Issue is to be priced on the principle of 'First in First out'. Write out the Stores Ledger Account in respect of the materials for the month of January, 2008. **Perpetual Inventory System is maintained**.

Exercise No. 4
From the following transactions of Anisha & Co., prepare the stores ledger account for the firm, using LIFO method, **Perpetual Inventory System is maintained.**
2018
1 July Opening stock 500 units @ OMR 20 each
4 July Purchased 400 units @ OMR 21 each
6 July Issued 600 units
8 July Purchased 800 units @ OMR 24 each
9 July Issued 500 units
13 July Issued 300 units
24 July Purchased 500 units @ OMR 25 each
28 July Issued 400 units

Exercise No. 5
Following Information is given to you about Purchase of Inventory and Issues of Inventory for the Month of January 2017. You are asked to determine the cost of inventory by **Weighted Average Method** at the end of the January 2017.
Periodic Inventory System is maintained.

Inventory Valuation
Purchases

Date	Units	Rate	Value
Jan-01	600	OMR 3	
Jan-07	1000	OMR 4	
Jan-30	900	OMR 5	
Total Closing Stock/Inventory Value			

Units Issued/Sold

Date	Units
Jan-15	600
Jan-31	1200
Total Cost of Goods Sold	

Exercise No. 6
Apple & Co. provides you with the following information:

1.1.2017 Opening Stock 100 units @ OMR 1.00; **2.1.2017.** Purchased 400 units @ OMR 1.50; **3.1.2017.** Issued 450 units; **4.1.2017.** Purchased 500 units @ OMR 2.06; **5.1.2017** Issued 300 units.

Compute the Value of Inventory and Cost of Goods Sold as on 5.1.2017 assuming
(a) Perpetual System under FIFO Method.
(b) Periodic Inventory System under FIFO Method.
(c) Perpetual System under LIFO Method.
(d) Periodic Inventory System under LIFO Method.
(e) Weighted Average Method under Perpetual System
(f) Weighted Average Method under Periodic Inventory System

Exercise No. 7
FIFO and LIFO inventory methods.

During June, the following changes in inventory item 27 took place:

June	1	Balance	1,400 units @ OMR 24
	14	Purchased	800 units @ OMR 36
	24	Purchased	700 units @ OMR 30
	8	***Sold***	400 units @ OMR 50
	10	***Sold***	1,000 units @ OMR 40
	29	***Sold***	500 units @ OMR 44

Periodic Inventory System are maintained.
What is **the cost of the ending inventory, cost of goods sold and profit** for item 27 under the following methods? (Show calculations.) (a) FIFO (b) LIFO

Reference: Ramagopal, C.. Accounting for Managers, New Age International Pvt. Ltd., Publishers, 2009. ProQuest Ebook Central, http://ebookcentral.proquest.com/lib/dhofar-ebooks/detail.action?docID=437704.